Intention to Create Legal Relations

When an agreement is intended to carry legal consequences

You agree to meet a friend at a café at 3 p.m. Your friend arrives late. You have an agreement, but normally no contractual claim for being kept waiting. Compare a café agreeing to supply a paid catering order at 3 p.m.: that setting usually indicates legal obligations.

This guide explains intention to create legal relations in the law of England and Wales. It is written for university English students with no legal background. The main cases concern family arrangements; a contrasting case shows why family members can also make binding contracts.

1 Agreement is not the whole test

Intention to create legal relations concerns whether an agreement is intended to have legal force. **Legally binding** means that the law recognises obligations whose breach can lead to legal remedies. A sincere promise or a precise meeting time does not automatically establish this intention.

Keep three questions separate: did the parties agree; did they intend legal obligations; and is there consideration, meaning a legally recognised return for the promise? Other requirements, including certainty and any applicable formalities, may also matter.

2 Assess the agreement objectively

Courts examine words, conduct and the surrounding circumstances. Ask how reasonable people would understand the arrangement in that setting. The test does not depend simply on a party’s uncommunicated belief or a later statement that they never meant to be bound.

SETTING	USUAL STARTING POINT
Ordinary social or domestic arrangement	Usually understood as relying on friendship or family trust, rather than legal enforcement.
Commercial agreement	Usually presumed to be intended to have legal effect. Contrary evidence can change that conclusion.

A **presumption** is a starting inference, not a final answer. To **rebut** it is to provide evidence supporting the opposite conclusion. Examine the actual dealings: being relatives does not prevent a business transaction, and money does not make every family promise a contract.

Balfour: A Domestic Allowance

Balfour v Balfour [1919] 2 KB 571
Court of Appeal

3 The promise and the circumstances

Mr Balfour worked in Ceylon, now Sri Lanka. He and his wife visited England during his leave. When he returned, she remained in England on medical advice. He promised her £30 a month for support. The promise was made while their relationship was still amicable, rather than as a negotiated separation settlement.

Their relationship later deteriorated. Mrs Balfour sought to enforce the allowance as a contractual obligation.

4 The outcome and the relevant intention

Outcome: Mr Balfour's appeal succeeded; Mrs Balfour could not enforce this promise as a contract. Atkin LJ treated the arrangement as an ordinary domestic understanding without intended legal consequences.

The judges' reasoning was not identical, and consideration was also discussed. For this topic, the key lesson is that an agreement can lack contractual intention even where there are promises or something that might otherwise count as consideration.

5 Focus on the time of agreement

WHEN?	WHY IT MATTERS
When the allowance was promised	The spouses were making an amicable domestic arrangement during a temporary absence.
When the dispute later arose	A later breakdown did not retrospectively turn the earlier understanding into a contract.

For any problem, identify when the alleged contract was made. Evidence about later events may help explain an earlier arrangement, but a later wish to sue does not itself supply the intention that was missing at formation.

6 Keep the conclusion within its scope

The claim concerned enforcement of this particular promise through contract law. It does not mean spouses can never contract, or that a spouse can have no separate rights under family law.

An **allowance** is a regular sum provided for expenses. **Maintenance** means financial support. These words describe the payment's purpose; they do not themselves decide whether it rests on a contract or another legal basis.

A useful question is: were the parties arranging daily family support on trust, or objectively settling definite obligations with legal force? The contrasting case on page 4 helps answer it.

Jones: The Mother Recovers Possession

Jones v Padavatton [1969] 1 WLR 328
Court of Appeal | Judgment delivered in 1968

7 Support for legal studies

Mrs Jones encouraged her adult daughter to leave her job in Washington and study for the English Bar. She offered financial support. Later she bought a London house in her own name: her daughter could live there and rental income would provide support. Important details remained unsettled.

After relations deteriorated, the mother sought possession. The daughter relied on an alleged contract entitling her to remain.

8 The result, with different judicial routes

Outcome: the mother's appeal was allowed, and she obtained an order for possession. The judges did not all deny contractual intention for the same reasons.

Danckwerts and Fenton Atkinson LJJ regarded the dealings as family arrangements without contractual intent. Salmon LJ accepted contractual intention in the original study-support arrangement, but considered its reasonable duration exhausted; the later housing arrangement did not give an enforceable right to stay indefinitely.

The daughter's expenditure counterclaim remained for accounting. Success on possession did not decide every financial issue.

9 What does "study for the Bar" mean?

The **Bar** refers to the barrister profession. Here, **reading for the Bar** means undertaking the studies and examinations associated with becoming a barrister. It does not refer to a drinking place.

A **possession claim** asks a court for the right to recover occupation or control of property. It differs from a claim for unpaid money. A **counterclaim** is a claim brought by the defendant against the claimant within the proceedings.

10 Intention, reliance and certainty

Reliance means acting on a promise, such as leaving employment. It can be important evidence, but does not automatically prove contractual intention. **Certainty** asks whether the agreement is sufficiently definite to enforce.

Modern study-support example: a parent promises "help while you study". Ask what support was agreed, for how long, and whether the circumstances show legal commitment. Compare a signed agreement stating an amount, duration and clear legal obligations. Writing is evidence; it is not automatically decisive.

A Contrast and a Practical Method

11 Merritt: A binding agreement after separation

In *Merritt v Merritt* [1970] 1 WLR 1211, separated spouses made a written arrangement: the husband would transfer the home to the wife's sole ownership when she paid off the mortgage. She did so, but he refused the transfer.

Outcome: the wife succeeded and the husband's appeal was dismissed. Their separation, definite terms and signed undertaking showed a binding arrangement. Her mortgage payments supplied consideration. The decision illustrates why *Balfour* does not govern every agreement between spouses.

12 Four questions for a new problem

First: identify the alleged promise and when it was made.
Second: examine the setting and relationship at that time.
Third: consider the words, conduct, terms and evidence of intended legal effect.
Fourth: explain the intention conclusion, then check the other contract requirements separately.

13 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Domestic / commercial	Relating to family life / relating to business.
Rebut a presumption	Show evidence against the starting inference.
Objective assessment	Assess outward words, conduct and circumstances.
Enforceable	Capable of being enforced through legal proceedings.

14 Check your understanding

1. Does a sincere promise always create a contract?
2. Who won the contractual dispute in *Balfour*?
3. Did every judge in *Jones* reject the original arrangement's contractual intention?
4. Can spouses make binding contracts?

Answers: 1. No. 2. The husband; his appeal succeeded. 3. No: Salmon LJ took a different route to the possession outcome. 4. Yes; *Merritt* is a contrasting example. Always examine the circumstances and other requirements.

Authorities: Balfour, judicial extracts; Jones, judgment; Merritt, judgment. Commercial starting point: Law Commission, DAO scoping paper, para 5.23.

Based on the supplied *Intention to Create Legal Relations - Contract Law* lesson. Facts and examples are simplified for beginners, with qualifications for accuracy.